

Low-end Innovation (Disruptive)

- Low-end innovation happens when a new value chain is created by offering an existing product at a cheaper, easier-to-use manner, thus attracting the least-demanding customers of the already existing industry towards it.
- The companies adopt a new operating or financial approach and use these low-cost business models that pick from the least attractive customers of established firms.

Low-end innovations are disruptive as they can create, over time, new markets that are distinct from the mainstream market and displace them as more and more people switch.^[22]

The most ideal strategy

- The company should respond to entrants in the low end of the market.

This is not easy as it is very difficult to identify successful challengers as everyone looks similar at the start.

Keeping the entry doors closed through the low-end market is an essential activity that managers should keep in mind.

otherwise, a successful disruptor can take away its market share. Companies can consider a second brand to tap the low end of the market.



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